

(EFY was not able to find a single positive comment from the industry for the new amendments while preparing this article!)

The product design and cycle

Every professional in the hardware side of electronics knows that a new product goes through several changes before it enters the final production stage. The final production stage is the one where companies usually place orders in bulk for the kind of chips they are embedding into the product. Before that it is not unusual for companies and their research and development teams to try hundreds of chip combinations.

Sanket Bandyopadhyay, co-founder & VP, Daikoku Innovations, in a recent interaction with the *Electronics For You* team had shed light on the different stages of a product cycle. These stages consist of the ideation phase, feasibility study, design and development, testing and verification, collateral production, manufacturing, feedback and improvement, all of which have one thing in common—they all require the product and components to be tested again and again.

Now one problem that the product development teams might have to face will come in the form of finalising the set of chips they intend to use well in advance. Then there are instances when a lot of components need to be changed after the feedback and improvement stage. This applies both to third-party manufacturers as well as original equipment manufacturers.

“We usually submit the credentials of the components finalised to the purchase team three to four months before the manufacturing stage starts. The lead time on a lot of chips that are imported is six to eight weeks. The new rules may cause difficulty if there is a change in the kind of chips that we are looking to embed in the product. The new rules might lead to getting the product manufacturing stage extended

by unnecessary time,” says a hardware engineer not wishing to be named.

Many other electronics manufacturing companies that EFY reached out to had the same reaction towards the new amendments. It is important to realise that often there are mistakes in ordering as well as dispatching a consignment full of chips. The present process to ship back the consignment and request a new one, keeping customs clearance in mind, is simple. The importer fills in a form and the wrong consignment is sent back before the new one arrives. However, there is no clarity on what happens to the wrong

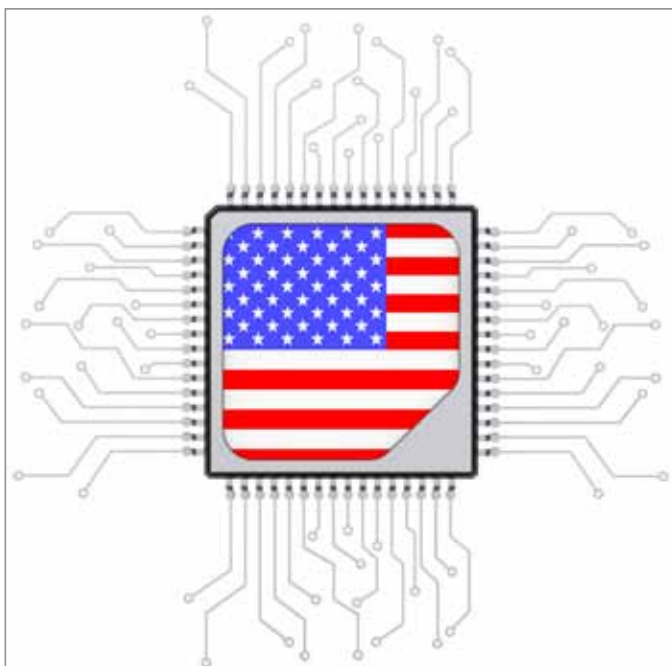
result in loss to the manufacturer. This might add to the overall cost of manufacturing electronics products for a company in India, thus creating a roadblock in the way of making the country ‘*atmanirbhar*’ in terms of electronics manufacturing, and creating a negative mindset for India in many other countries.

Further, a company looking to import different types of chips under one consignment may also find it difficult to make entries on CHIMS as the present changes have not clarified anything on this front. It is not clear whether a company, as an example, looking to import 5,000 chips for a smartphone, 3,000 for a laptop, and 7,000 for a smartwatch can do so under one consignment or three different consignments?

Similarly, CHIMS mandates the importers to fill in all the technical specifications of every chip to be imported. There are instances when an importer will only know (or want to know) about the technical specifications of a particular variety of chips that are associated with the product the manufacturer is developing. These might also add additional work that an importer will have to do in addition to what he is already doing.

The positive about the amendments made in the chip imports laws seems to be the country’s eagerness to become self-reliant (*atmanirbhar*) in terms of manufacturing chips. The data that gets fed to the CHIMS system might help in knowing what kind of chips are in demand, so that their manufacture within the country can be considered.

This takes us back to the age-old question: When will India have its own semiconductor fab? Most companies will need time to get accustomed to the new rules. Thankfully, the government of India is providing the facility of online testing of CHIMS, without payment of registration fee, till the amendments come into practice. This should clear lot of doubts. **EFY**



consignments when the new amendments take place.

The key issue that the industry association is concerned about is the requirement under CHIMS for filing information prior to arrival of the consignment. This is going to create serious roadblocks in imports of semiconductors for which electronics manufacturers are completely dependent on foreign sources. There are several uncertainties with respect to items covered in each bill of entry, their exact value, volume, scheduling, etc, which is likely to result in inaccuracies in the information uploaded on CHIMS.

Any kind of delay in clearing of consignments due to reasons beyond the control of the importer can also